When a star analyst speaks, information or authority?

20,980
rating revisions

2,683
A-share stocks

2018-2024
sample period

13.2% carry a New Fortune star label

Two channels. Four tests.

A retail-heavy market with limits on arbitrage is a natural laboratory for authority effects.

RETAIL TURNOVER

Attention and status can move prices.

T+1 AND PRICE LIMITS

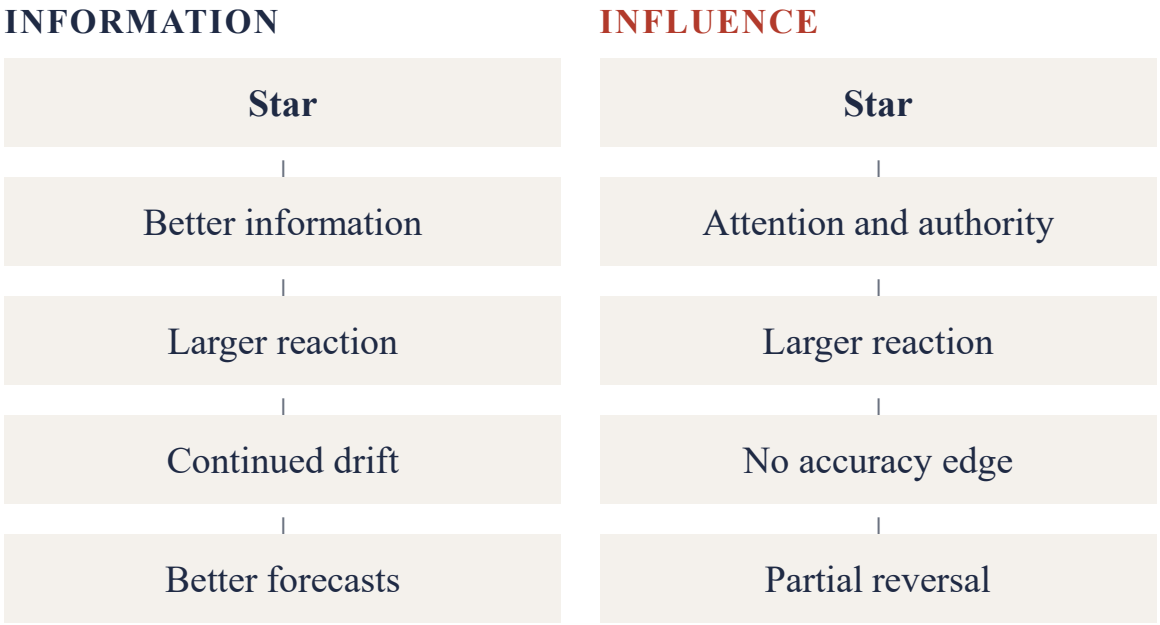
Arbitrage is costly; daily reactions are truncated.

NEW FORTUNE RANKING

An annual, public star label. The 2018 vote was suspended.

The setting gives the test power. It does not make the effect automatic.

Two channels, same announcement reaction, different long-run paths.



H1. Star revisions produce larger announcement CAR and volume.

H2. Information: drift continues. Influence: drift reverses.

H3. Information: better forecasts. Influence: similar or worse.

H4. The premium differs by direction and broker tier.

H1 cannot separate the channels.
H2 and H3 do the work.

Milgram (1963); Bonner, Hugon and Walther (2007); Loh and Stulz (2011); Fang and Yasuda (2009, 2014).

From 520,567 records to 20,980 usable revisions.

20,980 events

2,683 stocks

2,171 analysts

13.2% star events

12,131 upgrades / 8,849 downgrades

1	→	2	→	3	→	4
Raw rating detail		**Remove duplicates**		**Keep upgrades / downgrades**		**Drop IPO < 6m and ST**
520,567		**517,871**		**21,471**		**20,980**

Unit: one analyst-stock rating revision.
Not a report. Not an initiation.

42,276 initiations are stored separately and excluded.

iFinD THS_iwencai, pulled 5 October 2026. Market data: Dretwd and H00300.

Three proxies: star status, seniority, and broker tier.

STAR

New Fortune list in force. 2,774 events, 13.2%. 2018 inherits 2017.

SENIORITY

Years since first report. Source floor June 2009. Event-day variant differs by at most 0.027 years.

BROKER TIER

Cumulative rating-record share: 50% and 90%. 13 / 26 / 85 houses. Stable identity, in-year display.

A 2018 国泰君安 report is never relabeled 国泰海通.

One event window, one drift path, two accuracy metrics.

ANNOUNCEMENT

CAR[-1,+1], [-1,+5], [-5,+5]

AV = log volume minus [-120,-11] mean

80% valid observations required

DRIFT

CAR +2 to +60, +120, +250

Holding returns 63, 126, 252 days

Direction-adjusted, market-adjusted

ACCURACY

|forecast EPS - actual EPS| / price x 100

FY0 and FY1

Winsorised at 1/99

$$CAR_i = \sum_t (r_{i,t} - r_{m,t}) \qquad AV_i = \ln V_{i,0} - \text{mean} \ln V_{i,t}$$

Event day = first trading day at or after the report date. Suspended days are missing, never zero.

Star upgrades move both price and volume. Star downgrades move neither.

UPGRADES	DOWNGRADES
UPGRADE · CAR[-1,+1]	UPGRADE · ABNORMAL VOLUME
+0.37 pp	**+0.053**
star minus non-star, t = 2.17	log points, t = 2.85
DOWNGRADE · CAR[-1,+1]	DOWNGRADE · ABNORMAL VOLUME
+0.06	**-0.011**
t = 0.35, n.s.	log points, t = -0.53, n.s.

Price and volume move together, and only for upgrades.

Source: iFinD; authors' calculations. All cells are star minus non-star.

The CAR premium is concentrated in price-limit events.

Window	Full sample	Excluding limit-hit events
[-1,+1]	**+0.37 (p = 0.030)**	**+0.21 (p = 0.134)**
[-1,+5]	**+0.54 (p = 0.021)**	**+0.20 (p = 0.310)**
[-5,+5]	**+0.99 (p = 0.0004)**	**+0.65 (p = 0.008)**

Removes 8.7% to 16.0% of upgrade events.

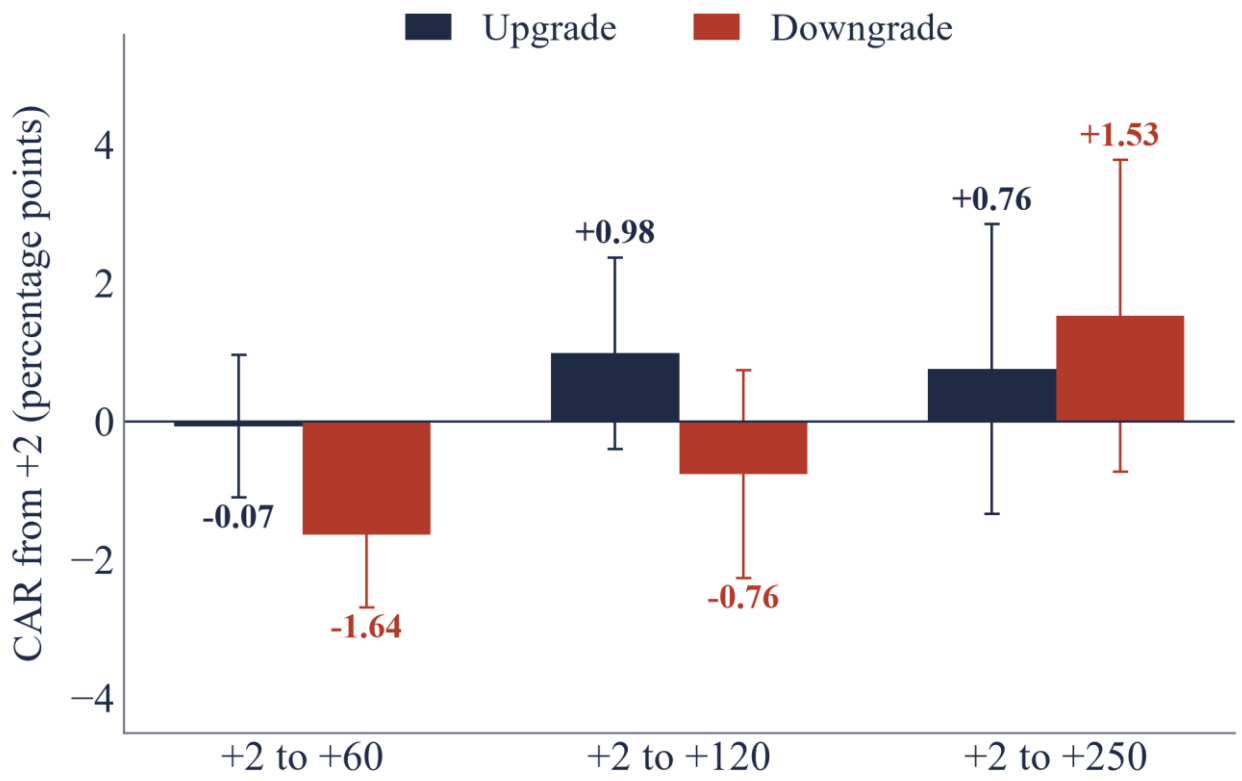
The 3-day and 5-day CAR premiums lose significance. The 11-day CAR premium remains.

This check covers CAR, not abnormal volume.

Only the 11-day CAR window survives. We do not call the 3-day CAR result robust to price limits.

Source: iFinD; authors' calculations. Market-adjusted CAR.

Star downgrades drift down, then reverse. Star upgrades do not drift.



STAR MINUS NON-STAR CAR

Horizon	Downgrade	Upgrade
+2 to +60	**-1.64 (p=.002)**	**-0.07 (p=.90)**
+2 to +120	**-0.76 (p=.32)**	**+0.98 (p=.16)**
+2 to +250	**+1.53 (p=.18)**	**+0.76 (p=.48)**

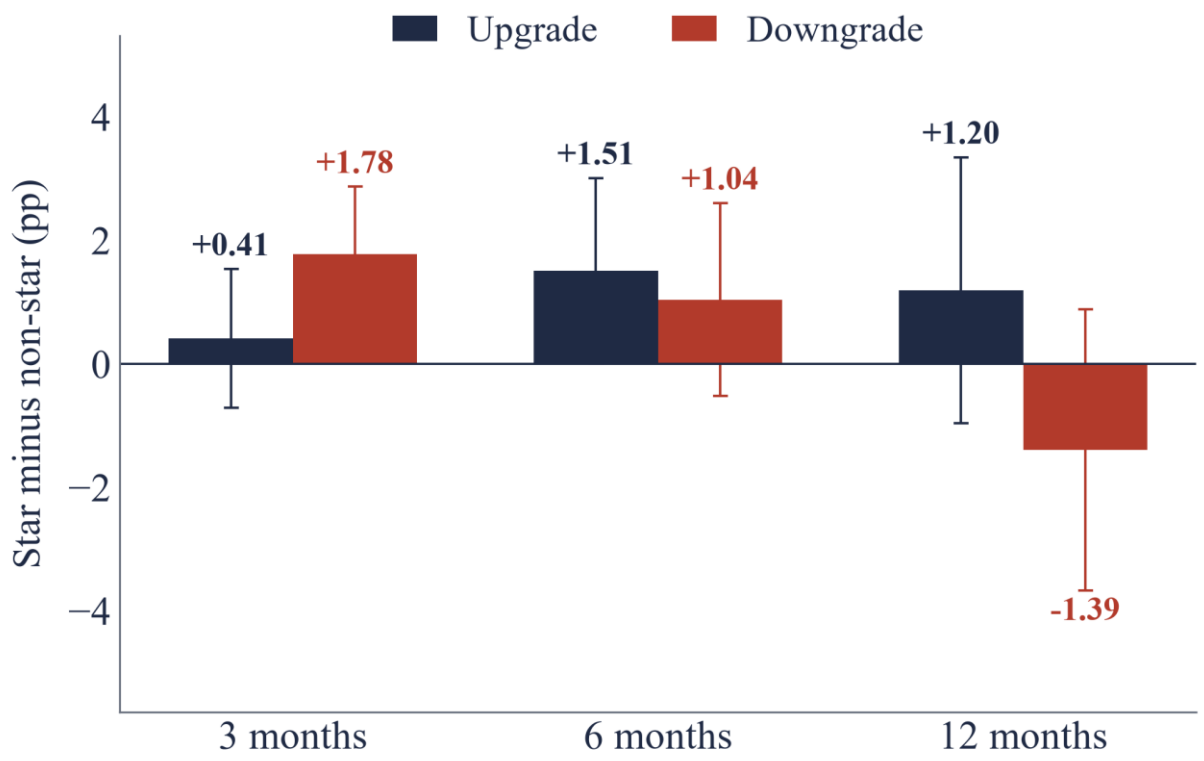
Downgrades: -1.64 at +60, then +1.53 at +250.
Upgrades: no differential drift.

Consistent with delayed following, not proof of over-following: the downgrade announcement reaction itself is not larger.

Source: iFinD; authors' calculations. Market-adjusted CAR from +2.

Stars show a short-lived return edge, not better forecasts.

HOLDING RETURNS (STAR MINUS NON-STAR)



FORECAST ERRORS (STAR MINUS NON-STAR)

FY0 UPGRADE	FY0 DOWNGRADE
+0.28	+0.46
p = 0.002	p = 0.002

FY1 UPGRADE	FY1 DOWNGRADE
+0.40	+0.94
p = 0.009	p < 0.001

Holding returns: +1.51 at 6m (up, p=.048); +1.78 at 3m (down, p=.001); no 12m persistence.
Forecast errors: larger in all four cells.

A short-lived return edge, not a stable accuracy advantage.

Source: iFinD; authors' calculations. Holding returns market-adjusted; forecast error winsorised at 1/99.

The premium is one-sided.
Tier differences are not stable.

DIRECTION

Upgrade premium **+0.39** p = 0.021

Interaction -0.29 (p = 0.197)

5-day window **+0.58** p = 0.014

Interaction -0.70 (p = 0.025)

Abnormal volume **+0.049** p = 0.009

Interaction -0.057 (p = 0.041)

BROKER TIER

Top-tier star upgrade **+0.55** p = 0.017

Top vs mid -0.63 (p = 0.072)

Mid-tier star downgrade **+0.62** p = 0.007

Rolling tier **23.1%** reclassified

Top +0.49 (p=.046); mid +0.33 (p=.129)

Regression estimates with controls; raw differences are in Finding 1.
Small tier: 2 star upgrades, 0 star downgrades; excluded from interaction models.

Tier is descriptive, not causal. Star and tier are highly collinear.

The headline survives three checks. Price limits are the boundary.

SUSPENSION

0.37 -> 0.37; 0.99 -> 0.99

CLUSTERING

p = 0.035 / 0.028 / 0.0006; no 5% sign changes

ST PROXY

4,915 stock-days flagged; short-window unchanged

ALTERNATIVE STAR

same-year, month, lag1; 2018 in-force

ROLLING TIER

23.1% reclassified; tier significance unstable

REPLICATION

max abs diff ~1e-13; event dates and N match

Raw price-limit check: 0.37 -> 0.21 (p = 0.134); 0.54 -> 0.20 (p = 0.310); 0.99 -> 0.65 (p = 0.008).

Bonferroni across 30 main specifications: five results survive at $p < 0.0017$.

WHAT DOES THIS MEAN?

The market follows the label, not the forecast.

INFORMATION STORY

Better access and skill -> larger reaction -> continued drift -> better forecasts.

Supported by short-run holding returns. Contradicted by larger forecast errors and no 12-month persistence.

INFLUENCE STORY

Status -> attention -> trading -> price impact -> no accuracy edge -> partial reversal.

Supported by the announcement premium and downgrade drift. Not pure influence, because short-run returns exist.

Verdict: influence with a short-lived information component.

Stars move markets without better forecasts.

1. Announcement: +0.37 pp and +0.053 log volume on star upgrades; no downgrade premium.

2. Persistence: -1.64 pp drift after star downgrades, then reversal; no upgrade drift.

3. Accuracy: larger absolute forecast errors in all four cells; holding edge only short-lived.

Reputation can coordinate attention without improving information.

Definitions, data, and the tests behind the headline.

DEFINITIONS

star: New Fortune list in force, 2018 inherits 2017

seniority: years since first report, 2009 floor

tier: cumulative rating-record share, 50% / 90%

CAR: sum of market-adjusted returns

AV: log volume minus [-120,-11] mean

DATA

iFinD THS_iwencai, 2018-2024

Dretwd total returns; H00300 market index

20,980 events; 2,683 stocks; 2,171 analysts

20,248 events matched to forecasts

FY0 20,067; FY1 19,626

EXTRA RESULTS

stock-clustered p-values for all main tests

Bonferroni: five survivors at $p < 0.0017$

suspension, ST, price-limit, rolling-tier checks

independent replication: max diff ~1e-13

full tables in the written report

Q&A map: Q1 7-8; Q2 9; Q3 10; Q4 11. Data source, event definition, endogeneity, alternatives, multiple testing.